Tax News & Insights

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OmniTax Professionals

Decision Impact Statement on Hicks

The ATO has issued a Decision Impact Statement (DIS) on the Full Federal Court's decision in Hicks. The case involved a 2016 restructure of the City Beach retail business, operated through the City Beach Trust (CBT). Prior to the restructure, the unitholders held pre-CGT units in CBT and significant Division 7A loan balances existed between corporate beneficiaries and the unitholders. A restructure was undertaken in the 2016 income year and involved 3 steps:

1. Interposition of a new company (Methuselah) between CBT and its unitholders
2. $52m selective share capital reduction, which was subsequently loaned to Methuselah as an interest-free loan
3. Debt assignment of the interest-free loan that effectively extinguished the Division 7A loans.

The Commissioner issued amended assessments and made determinations under section 45B or under section 177C of Part IVA (general anti-avoidance).

The Court held that neither section 45B nor Part IVA applied to the restructure. Specifically, the capital return was not a substitute for a dividend for the purposes of section 45B and that no Part IVA tax benefit arose because there was an alternative postulate that would also have resulted in no assessable income, given the pre-CGT status of the interests.

In the DIS, the ATO accepted the decision and the elements of the Court's reasoning, however, the ATO cautions that restructures designed to replicate the facts of *Hicks* may still be considered part of a broader scheme attracting section 45B. On Part IVA, the Commissioner notes a potential tension between *Hicks* and the High Court's approach in *PepsiCo* regarding alternative postulates and indicates it will continue to consider whether multiple reasonable postulates can be advanced in future disputes. The ATO is also reviewing its practice statements on the application of the general anti-voidance rules under Part IVA and on section 45B for return of capital distributions.

While the decision in *Hicks* represents a win for the taxpayer, the Commissioner's response highlights the need to carefully plan and consider the anti-avoidance risks when undertaking a restructure.

Interim Decision Impact Statement on Hilton International Australia

The ATO has released an Interim Decision Impact Statement on the Hilton case, where the Federal Court dismissed the taxpayer's appeal and upheld the Commissioner's application of the Part IVA general anti-avoidance rules to the sale of the Hilton Sydney hotel. The sale followed a complex pre-sale restructure which resulted in the hotel, which had greatly appreciated in value, being effectively sold to an unrelated third party on commercial terms but only return a relatively small net capital gain of $21m. The taxpayer has appealed to the Full Federal Court.

In the Interim DIS, the ATO agreed with the following principles arising from the Federal Court's analysis required by section 177CB as to the identification of reasonable alternatives to a scheme, for the purposes of establishing a tax benefit:

- *Identifying a reasonable alternative to the scheme* – consistent with the observation of the High Court in *PepsiCo*, there can be more than one reasonable alternative, that all alternative postulates proposed by the parties must be considered by the Court, and if there are multiple reasonable alternatives, the tax benefit is the highest amount produced by any of them. This requires a comparison with reasonable substitutes for the scheme, not a comparison with what the taxpayer might be expected to have done in the absence of the scheme and is the sole test of what might reasonably be expected to have occurred in the absence of the scheme for the purposes of section 177C. The ATO agrees with these observations and the Court's approach to the construction of subsection 177CB(3).

- *Substance of the scheme and alternative postulates under subsection 177CB(4)* - The Court confirmed that the form and structure of a scheme is not part of the substance of a scheme, and paragraph 177CB(4)(a) does not require the alternative postulates to exhibit the same substance as the scheme to be reasonable alternatives; correspondence means that the substance of an alternative postulate need only generally accord with that of the scheme. The ATO considers that the Court has correctly followed the guidance in this regard as stated by the High Court in *PepsiCo*.

- *Whether a postulate can be a reasonable alternative if it is itself a Part IVA scheme* – subsection 177CB(3) requires a comparison with an alternative postulate that is a reasonable substitute for the scheme, not an alternative that is also a tax avoidance arrangement.

In the Interim DIS, the ATO has stated that while they take the view that multiple alternative postulates may be available in an application of subsection 177CB(3), it will continue to be the ATO's practice, when applying subsection 177CB(3), to identify a single preferred alternative where the choice of alternative could affect the amount of the tax benefit, as well as all reasonable alternatives, with a view to obtaining appropriate findings of fact, pending final resolution of an issue.

Bills on 30% minimum tax on discretionary trusts referred to Senate Committee

On 15 October 2026, the *Treasury Laws Amendment (Tax Reform No. 3) Bill 2026*, which contains the proposed 30% minimum tax on discretionary trust rules, was referred to the Senate Economics Legislation Committee which is due to report on 13 November 2026.

GIC remission for FTDT extended

The ATO has extended its general interest charge (GIC) remission offer for family trust distribution tax (FTDT) liabilities by six months to 30 June 2027, giving trustees and advisers additional time to review historical elections and distributions.

Where taxpayers proactively identify and disclose an FTDT liability, lodge the required payment advice and pay the tax, the ATO will favourably consider remission of up to 80% of GIC, where fair and reasonable. Relief is discretionary, and lower remission may be available where disclosure occurs during the early stages of an ATO review. The underlying FTDT remains payable, including where the liability arose inadvertently.

Trustees should use this opportunity to verify family trust and interposed entity elections, confirm the specified individual and check historical distributions against the relevant family group. A recipient being commercially related does not necessarily establish membership of that group.

Early action remains valuable: paying identified FTDT stops further GIC accruing, and GIC incurred from 1 July 2025 is non-deductible. Reviewing distribution processes should also help prevent recurring exposures.

RTP schedule reporting requirement for large super funds and CIVs

The ATO has reminded large APRA-regulated superannuation funds and collective investment vehicles (CIVs) that Reportable Tax Position (RTP) schedule obligations apply from the 2026 income year onwards, where total fund or business income exceeds $250 million and the relevant lodgement criteria are met. The threshold concerns income, rather than assets under management.

Separate Super Fund RTP sand CIV RTP schedules reflect each sector's operating requirements. The extension brings these entities into the disclosure framework applying to Australia's largest companies, giving the ATO greater visibility of significant tax positions and supporting its assurance activities.

Affected funds should review the relevant instructions, confirm their lodgement obligations and establish processes to identify, assess and document reportable positions. In practice, this means incorporating RTP reviews into tax governance and return preparation processes.

The schedule is due along with the entity's tax return. Existing company RTP reporting obligations remain unchanged.

Payday Super: draft guidance on ATO-initiated assessments

The ATO has released draft *PS LA 2026/D4*, outlining when it may assess an employer's superannuation guarantee charge (SGC) liability under Payday Super on its own initiative, rather than based on an employer's voluntary disclosure statement. It will succeed *PS LA 2007/10*, which continues to apply to quarters ending on or before 30 June 2026.

Under the draft guidance, before making an assessment, the ATO should explain the apparent SG shortfall and how it was identified, and give the employer a reasonable opportunity to correct reporting errors, provide additional information or lodge a voluntary disclosure statement.

The ATO has confirmed that its first-year compliance approach remains unchanged, recognising employers making genuine efforts to comply and resolving issues promptly. The practical message for all employers is to monitor super payments, investigate any discrepancies and address shortfalls quickly.

Contact

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